

Calderwood Partners LLC

www.calderwoodpartners.com

June 22, 2017

Sandra Frazier
VP Finance
Brown and Sons

Dear Ms. Frazier:

This letter sets out the terms on which our firm will advise Brown and Sons on the rationalization of its operating footprint, and it becomes our agreement at the moment you countersign the copy enclosed with it and return that copy to me. I have written it at some length, and in plainer language than such letters usually carry, because an engagement of this kind proceeds more surely when both sides have read the same account of it before any work is begun. I would ask you, before you sign, to read what follows against your own sense of the assignment we discussed, and to tell me of any point on which the two do not yet sit comfortably together.

The Work and How We Propose to Approach It

The assignment is a rationalization of the footprint through which Brown and Sons carries on its operations, by which I mean the network of sites the company runs and the question of whether that network, taken as a whole, still fits the demand it was built to serve. We will begin by assembling a faithful picture of the footprint as it stands today, recording what each location costs to hold and to operate, how fully it is used, and what part it plays in serving the business, so that no site is judged on impression where a measured figure can be had instead. From that baseline we will develop and weigh options for a smaller or differently arranged network, setting against each of them the cost it would release, the service it would place at risk, and the disruption it would ask the organization to absorb, and we will describe those trade-offs plainly, including the ones that a preferred option would require you to accept.

It is worth being as clear about the limits of the work as about its substance. This is a study of the footprint and a set of recommendations you will be equipped to act on; it is not the execution of any closure, consolidation, or move, and the carrying out of whatever you decide will remain yours to lead unless we later agree, in writing, on a separate engagement to support it. Should the shape of the assignment

change materially once we are under way, whether at your request or because the analysis brings something unexpected to light, I will describe the change and settle its terms with you before we act on it, so that nothing is ever added to the work without your assent having been given first.

Who Will Carry the Work

The work will be done by a small and consistent team. Cynthia Hart, a research associate of the firm, will ground the study in the market and operating context that surrounds the footprint, and will assemble the situation assessment on which the later analysis rests. Deborah Gordon, a senior associate, will own the benchmarking and the site-level cost and utilization data, and will be answerable for ensuring that the figures we present can be defended against a hard question rather than merely asserted. Brenda Clayton, a consultant, will do the analytical work behind the exhibits, from the reconciliation of the underlying data through to the option comparisons themselves. I will keep my own hand on the engagement at the points where a judgment must be made about how far a finding can be pressed before it outruns what the evidence will bear, and nothing of consequence will leave the firm under our name without my having read it first.

Fees and Payment

Our fee for the engagement as I have described it is fixed at \$34,500, which covers the time of the people named above through the expected close of the work, together with the ordinary meetings, correspondence, and interim materials that accompany an assignment of this kind. It does not extend to work we might later agree to add, such as support for the execution of your decisions, which we would scope and price separately before beginning it, nor to the incidental costs of the work, such as travel or the reproduction of materials, which we will incur only with your agreement and pass through to you at what they cost us. We will render invoices against the fixed fee at regular intervals as the work proceeds, and each invoice will fall due within thirty days of its date.

Term and Termination

The engagement will commence on July 2, 2017 and is scoped to run for something on the order of seven months, that being the period over which we have planned the assessment, the analysis, and the design of the options, though I will tell you early if the work proves to need more time or less. Either of us may bring the engagement to an end on fourteen days' written notice to the other. Should you choose to end it, you will owe our fee earned to the date of termination together with any costs properly committed to that point, and nothing beyond that; should we do so, which

we would undertake only for a reason our professional standards required of us, we will return any part of the fee that relates to work not yet performed and will assist an orderly handover of the assignment.

Confidentiality

Everything we learn about Brown and Sons in the course of this work we will hold in confidence and use solely for the purpose of the engagement you have retained us to perform. That obligation binds every member of the team, it survives the completion or termination of the work, and it extends to the fact of our involvement as fully as it does to its substance. We would ask the same of you in respect of the methods, analyses, and written materials we bring to the assignment, which represent the firm's own way of working, and neither of us will disclose the other's confidential information except where the law or a proper authority compels it, and then only so far as we are compelled and, where it is practicable to do so, on notice to the other.

Limitation of Liability

We will perform this engagement with the care and skill you are entitled to expect of a firm retained for it, and our advice will represent our considered professional judgment on the information available to us. We do not, however, warrant any particular commercial result, since what an operating footprint finally yields depends in large part on decisions and actions that will rest with your organization rather than with ours, and on conditions in the markets you serve that neither of us controls. Save to the extent that the law does not permit such a limit, our aggregate liability to you arising out of or in connection with this engagement will be limited to the fees actually paid to us under it, and neither of us will be liable to the other for indirect or consequential loss.

Governing Law

This letter, together with the signature page that accompanies it, constitutes the entire agreement between us in respect of this engagement and supersedes any prior discussion or understanding, and it may be varied only by a writing signed by both of us. It will be governed by, and construed in accordance with, the law of the state in which our firm maintains its principal office, and each of us submits to the jurisdiction of the courts of that state in respect of any dispute arising under it; should any single provision of this letter be held unenforceable, the remainder of it will continue in force, unaffected.

If this letter reflects the understanding we reached, I would be grateful if you would sign and date the enclosed copy where indicated and return it to me, keeping the other for your file; once your signed copy is in our hands, Cynthia Hart will write to you to arrange the first meetings and the opening requests for information, so that we can begin without delay. If any part of it warrants discussion first, tell me and I will make the time this week to talk it through before you sign.

Sincerely,

Julie Ramsey

Managing Principal

Date: June 22, 2017

Sandra Frazier

VP Finance, Brown and Sons

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